

The Mining Stocks Opportunity

Educational Workbook Companion

This workbook is designed to help you think critically about the investment thesis presented in the video: "**The \$1.6 Billion Mining Bet That Could Make You Rich (Or Poor)**"

Use this as a learning tool to organize your thoughts, ask important questions, and develop your own research plan.



IMPORTANT EDUCATIONAL DISCLAIMER

This workbook is for **educational purposes only**. Nothing in this workbook constitutes financial, investment, legal, or tax advice. The information presented is based solely on the video script content and should not be interpreted as a recommendation to buy, sell, or hold any securities. All

investing involves risk, including the possible loss of principal. You should conduct your own research and consult with a qualified financial advisor before making any investment decisions. Past performance does not guarantee future results.



Key Takeaways from the Video



The U.S. government invested \$1.6 billion in USA Rare Earth (USAR) for a 10% stake—the largest government investment in rare earths in American history.

The Central Thesis (In Simple Terms)

Think of it like this: Your phone, electric cars, wind turbines, and even military jets all need special metals called "rare earths" to work. Right now, China controls about 90% of the processing of these metals. The U.S. government is worried about relying on China for such critical materials, so they're investing heavily in American companies to build our own supply chain.

Three Major Trends Driving This Opportunity

1. **The AI Boom:** Artificial intelligence needs huge data centers, which require massive amounts of copper, aluminum, and other metals for power and cooling.
2. **Energy Transition:** Electric vehicles use 3x more copper than regular cars. Wind turbines need rare earth magnets. Solar panels need silver.
3. **Defense & Geopolitics:** Countries are increasing defense spending, and military equipment is loaded with rare metals.



By 2030, AI data centers alone will use about 500 terawatt-hours of electricity—roughly equal to the entire country of France's power consumption.

The Supply Problem

Mining companies haven't built enough new mines over the past decade because prices were low. Now demand is rising fast, but it takes an average of **16 years** to build a new mine from discovery to production. This creates a supply squeeze—more

demand, not enough supply, which could drive prices higher.



Your Notes: What surprised you most from the video?



Reflection Question: Why do you think China has dominated rare earth processing for so long?

Stock Overview: Six Companies Mentioned

Below are the six companies discussed in the video. Use this checklist to track which ones you want to research further.

Company (Ticker)	What They Do	Stage	Risk Level
USA Rare Earth (USAR)	Building mine-to-magnet supply chain in Texas & Oklahoma	Development (not producing yet)	High
MP Materials (MP)	Only large-scale rare earth producer in Western Hemisphere	Producing now	Medium-High
Uranium Royalty Corp (UROY)	Owns royalty interests in uranium projects (passive income model)	Royalty company	Medium
The Metals Company (TMC)	Pioneer in deep-sea mining for battery metals	Experimental/Speculative	Extremely High
Critical Metals Corp (CRML)	Exploration company with rare earth project in Greenland	Early-stage exploration	High
Gold Resource Corp (GORO)	Precious metals producer (gold/silver) with operational turnaround	Producing now	Medium-High

Your Research Checklist

Which stocks do you want to investigate further? Check the boxes:

- ☐ USAR - Government-backed rare earths (high risk, potential high reward)
- ☐ MP Materials - Established rare earth producer (already up 230% in 2025)
- ☐ UROY - Uranium royalty play (lower operational risk)
- ☐ TMC - Deep-sea mining moonshot (extremely speculative)
- ☐ CRML - Early-stage rare earth explorer in Greenland
- ☐ GORO - Precious metals producer with turnaround story



Your Notes: Which company's business model makes the most sense to you, and why?



Critical Thinking: If you had to explain the difference between USAR and MP Materials to a friend, how would you do it?

? Questions for Deep Thinking

Answer these questions honestly. They'll help you understand if this investment thesis makes sense *for you*.

1. What are the three biggest risks that concern you most about investing in mining stocks?

2. Which metals or materials seem most critical for the future of technology (AI, EVs, defense)? Why?

3. Do you believe the U.S. government's \$1.6 billion investment validates the rare earths thesis, or could this be political spending that doesn't pan out economically?

4. The mining sector is already up 90% in the past year. Does that make you MORE interested (momentum) or LESS interested (fear of being late)?

5. If China decided to flood the market with cheap rare earths to hurt U.S. producers, how would that affect your investment thesis?

Six Major Risks to Consider

Risk #1: Commodity Price Volatility

Mining stocks can swing 20-30% in a single week. If there's a recession, metal prices can crash, and mining stocks get hit hard.

Risk #2: China Retaliation

China could cut off exports of critical materials, causing short-term chaos. Long-term this might help U.S. companies, but markets could panic first.

Risk #3: Technology Changes

What if someone invents magnets that don't need rare earths? Or AI becomes so efficient it uses less power? Technology can disrupt commodity demand faster than you think.

Risk #4: Regulatory & Political Risk

Mining is heavily regulated. Permits can take years. Environmental reviews can kill projects entirely. Deep-sea mining could be banned.

Risk #5: Execution Risk

These companies have to actually deliver. Building mines is hard, expensive, and things go wrong. Projects get delayed and go over budget frequently.

Risk #6: You Might Be Late

The sector is already up 90%. Some stocks are up 230%, others 451%. Some of the easy money may already have been made.



Your Personal Investment Criteria

Worksheet

Before making any investment decisions, define your personal criteria. This helps you make logical, not emotional, choices.

Risk Tolerance Assessment

- ☐ I am comfortable with stocks that can drop 20-30% in a week
- ☐ I am investing money I won't need for at least 3-5 years
- ☐ I understand that mining stocks are cyclical and can lose significant value in recessions
- ☐ I am comfortable with speculative, early-stage companies (or prefer established producers)

Position Sizing Plan

What percentage of your overall portfolio would be appropriate for mining/commodity exposure?

My comfortable allocation to this sector: _____ %

(Many conservative investors limit speculative sectors to 5-10% of total portfolio. Never invest more than you can afford to lose entirely.)

Time Horizon

How long are you willing to hold these investments?

- ☐ Short-term (less than 1 year) - Trading approach
 - ☐ Medium-term (1-3 years) - Waiting for catalysts
 - ☐ Long-term (3-10+ years) - Supercycle thesis
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Your Exit Strategy: At what point would you sell? (Price target? Time limit? Change in thesis?)



Action Steps for Further Research

Don't rush into anything. Use this checklist to guide your research:

Before Investing in ANY Mining Stock

- ☐ Read the company's latest quarterly earnings report (available on their investor relations website)
- ☐ Understand their production timeline: Are they producing now, or years away?
- ☐ Check their debt levels: How much debt do they have? Can they service it if metal prices fall?
- ☐ Review insider trading: Are executives buying or selling shares? (Use SEC EDGAR database)
- ☐ Understand commodity prices: Check current copper, rare earth, uranium, silver prices and their trends
- ☐ Read analyst reports: What do professional analysts say about the company? (Use your brokerage research tools)
- ☐ Check comparable companies: How is this stock valued compared to similar companies?
- ☐ Understand geopolitical risks: Where are their operations? What are the political risks in those regions?

Questions to Answer Before Buying

What would have to happen for this investment to work out well?

What would have to happen for this investment to lose significant value?

What is my plan if the stock drops 30% immediately after I buy?



Want to Learn How to Trade Like Wall Street?

Knowing about an opportunity is worthless if you don't know when to buy and when to sell. That's why there's a free masterclass available that walks through exactly how institutional traders approach buying and selling—not theory, but the actual process.

Watch the free masterclass at: felifriends.org/training

No credit card required. No nonsense. Just practical strategies that actually work.

✓ Final Checklist Before Making Any Decision

- ☐ I have done my own independent research beyond watching this video
- ☐ I understand the risks and am comfortable with potential losses
- ☐ I have consulted with a qualified financial advisor (or decided I don't need one)
- ☐ I have determined an appropriate position size that won't jeopardize my financial security
- ☐ I have an exit strategy and price targets defined
- ☐ I am making this decision based on logic and research, not emotion or FOMO

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Past performance is not indicative of future results. Historical returns, statistics, and performance data presented are based on information available at the time of the video and may not reflect current conditions.

You are solely responsible for your investment decisions.

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